Avoid making major purchases for two years

Sam feels so strongly about this rule that he told me to write it out and sign it when I retired. "I, Paul Terhorst, won't make major purchases for two years." I decided to go even farther. I turned control of our assets over to Vicki. She has more common sense than I do.

Sam's prediction came true. Shortly after retiring I came up with "great deals" everywhere I looked: a farm in Paraguay, a larger apartment in Buenos Aires, a home in Punta del Este. Vicki had the good sense to smile and, if I persisted, laugh at my ideas.

Sam believes you need only $300,000 to retire comfortably. "Put it in the bank and live off the interest. Don't worry about inflation. If the interest runs out, live off the principal. You'll never exhaust the principal before you die—as long as you stay away from hard assets."

The last time I saw Sam he was back in politics. On his most recent campaign he had assumed a policy role for the first time. He and his wife had had another baby, something they had been trying to do for nineteen years without success. And Sam was back at work full time, putting in eighteen-hour days, working harder than ever. Why?

Sam says one reason is the baby. He thinks he should fulfill the role of a working father while the baby's young. A second and, I suspect, more important reason is the job itself. Sam consults to a Houston newspaper about their marketing and ad sales. He helps the paper grow. He works with the directors and is getting to know Houston's movers and shakers. He accompanies writers when they interview important people. "I'm totally wrapped up in it," he told me. "I have no idea how long it will last, or where it will take me. I can't keep up the pace forever. But right now I'm having a ball."

The rule is:

Go back to work if you feel like it